E. Give Families More Support and Greater Assurance

113. Sir, families are the bedrock of society and the first line of support for every individual. Through Forward Singapore, we have made significant moves in recent years to support Singaporeans and their families — from parents, to seniors, caregivers, and persons with disabilities. We have also ramped up the supply of HDB flats to ensure that public housing remains accessible and affordable for couples and families.

114. In this Budget, we will make further moves to give families more support and greater assurance.

Supporting Families and Investing in Our Children

115. Many young couples hope to become parents. We want to create the right conditions, so they feel confident and ready to start a family. The decision to get married and have children is deeply personal. But for those who wish to take the step, the Government will do more to support them along the way.

116. One of the biggest concerns for young couples is the cost of raising a family. Over successive Budgets, we have strengthened support to help parents manage these expenses.

a. For example, we introduced the Large Families Scheme to support families who have, or aspire to have, three or more children. For every third or subsequent child, the scheme will provide up to $16,000 in additional benefits.

b. At last year's Budget, we announced $500 in Child LifeSG Credits for each Singaporean child aged 12 and below, to help their parents defray their day-to-day household expenses.

c. This year, we will **provide another $500 in Child LifeSG Credits to families for each Singaporean child aged 12 and below**.

117. We will continue to keep preschool and student care affordable, to support the critical early years of a child's development.

a. Over the years, we have reduced preschool fee caps and increased subsidies.

b. Today, childcare fees for dual-income families are comparable to primary school and after-school student care fees.

c. Lower- and middle-income families also receive means-tested subsidies, which further reduce out-of-pocket expenses.

118. We will enhance these further.

a. From the start of next year, we will extend means-tested preschool subsidies to more families, by **raising the monthly household income threshold to $15,000**. This will benefit more than 60,000 families.

b. Eligible parents, including those who previously qualified, can also receive more in infant care and childcare subsidies.

119. We will also strengthen support for student care.

a. We will **raise the monthly household income threshold for Student Care Fee Assistance to $6,500**, so that more families can qualify.

b. Beyond these enhancements, we are undertaking a holistic review of the student care sector, to study how to better meet the caregiving needs of families with primary school-aged children.

Empowering Families with Greater Needs

120. We will continue to help lower-income families, especially those with young children, move towards greater stability, self-reliance, and social mobility.

121. We take a family-centric approach to support such families. Under ComLink+, each family is paired with a dedicated family coach, who works with them to develop personalised action plans and to coordinate support.

122. To recognise and reinforce the families' own efforts, we introduced Progress Packages. These are more than financial assistance; they are a form of social contract where family coaches work with the families to set clear goals — like securing a stable job, saving towards a home, or ensuring their children enrol in and attend preschool regularly. When these milestones are achieved, the families receive additional payouts.

123. Take Mdm Hurul and Mr Hafiz for example.

a. They had taken important steps on their own to stabilise their finances. What they needed was sustained guidance and support to keep moving forward.

b. With support from their family coach, and through their own hard work, they have made good progress over the past year.

c. Through the Progress Packages, their financial circumstances have improved, and they are now closer to securing their own 4-room HDB flat.

124. ComLink+ is built around close and sustained support for families. It relies on dedicated family coaches, case workers from Family Service Centres, and volunteer befrienders who work directly with families to help them make steady progress.

125. Over time, we have strengthened our capabilities on the ground, and we are now ready to enhance the ComLink+ Progress Packages.

a. First, we will **provide a new payout of $500 per quarter for all ComLink+ families who make a commitment to work with family coaches** and take active steps to make progress.

b. Second, we will **enhance the additional payouts that families receive** when they make concrete progress in their goals of maintaining stable employment and good preschool attendance for their children.

c. Third, we will **provide more of these payouts in cash, while continuing to set aside monies in their CPF accounts**. This will help families meet immediate needs, while also building their longer-term financial security.

d. With these enhancements, a **family with two children under ComLink+ can receive around $10,000 per year in cash and CPF top-ups**, while their children are in preschool. And we hope this will provide them with the necessary support to stabilise their finances and secure a better life for themselves and their children.

126. The Minister for Social and Family Development will provide more details at the Committee of Supply.

127. We will also do more for persons with disabilities, as well as their families and caregivers. Minister of State Goh Pei Ming is leading a taskforce to review how we can provide more meaningful support at different life stages for persons with disabilities and their families. This includes expanding capacity in community-based facilities, keeping services affordable, and supporting graduates of special education schools to secure meaningful employment and live well in the community.

128. We look forward to the recommendations of the taskforce. Strengthening support for persons with disabilities is a key priority for the Government and a shared responsibility for all of us. So the Government stands ready to set aside additional resources to advance these efforts.

Enabling Seniors to Age Well

129. As our population ages, we will also provide more support for our seniors — so they can age with dignity, security and peace of mind.

130. We recently enhanced CareShield Life to provide higher payouts, giving seniors greater assurance against long-term care costs. We also increased CareShield Life premium subsidies, to help cushion the impact of the higher premiums. **I will top up the Long-Term Care Support Fund by $400 million to fund the additional subsidies.**

131. With longer lifespans, retirement adequacy is another major concern for many Singaporeans.

132. Our aim is clear: Singaporeans who work and contribute to CPF consistently should be able to meet their basic retirement needs with confidence.

133. Over the years, we have enhanced the CPF system to achieve this. We introduced Silver Support to uplift seniors with less means, and the Majulah Package to give additional assurance to our "Young Seniors" as they approach retirement.

134. In this Budget, we will take further steps to strengthen retirement support.

135. First, we will **provide a CPF top-up of up to $1,500 for Singaporeans aged 50 and above, and with CPF retirement savings below the Basic Retirement Sum**. Those with lower balances will receive larger top-ups, so that support is targeted at where it is most needed.

136. Second, we will **proceed with the next step of planned CPF contribution rate increases for senior workers in 2027**. This will help older workers build up their retirement savings in their later working years. The Government will also continue to **provide the CPF Transition Offset to employers, covering half of the increase in employer contributions for 2027**.

137. Third, we will **offer more investment options for CPF members who wish to grow their savings further**.

a. Today, the CPF system provides stable, risk-free interest rates to help Singaporeans build up their retirement nest egg.

b. With the extra interest that CPF offers, CPF members can earn up to 6% per annum, risk-free, on their CPF balances.

138. Some CPF members, especially those with a longer runway to retirement, are prepared to take more risk to generate potentially higher returns.

a. But experience shows that most people do not do well picking and trading individual stocks. It is very hard to beat the market consistently.

b. For retail investors, a more sensible approach is broad and diversified exposure through low-cost funds. But even then, risks remain. Because some may invest when markets are high, and retire during a downturn — precisely when they need their savings.

c. That is why the CPF Advisory Panel earlier recommended introducing a Lifetime Retirement Investment Scheme. This is essentially a life-cycle investment approach, with a predefined glide path to retirement. In other words, members take on more risk, with greater exposure to equities, when they are younger; and their investments are automatically rebalanced towards safer assets as they approach retirement.

139. We studied this recommendation carefully. Currently, such life-cycle investment products are available in the market, but they have traditionally come with high fees. So rather than leave this entirely to the market, the Government will help shape and develop such products under a new scheme for CPF members.

a. Later this year, CPF Board will engage the industry, and invite expressions of interest from potential providers.

b. A key requirement will be that the fees are kept low. We will select two to three credible providers to keep choices simple for members.

c. The Government will also be prepared, in-principle, to provide some time-limited support to kick-start the scheme.

d. Participation in the new investment scheme will be voluntary. CPF members can choose whether to opt in.

e. At the same time, we will strengthen efforts to help members understand whether this option is suitable for them — in particular, for members who are younger and have a long runway to retirement, and who can better ride out short-term market fluctuations.

140. I've set out the broad framework today. But there are still many details to work out, and MOM and CPF Board will share more when ready.

Supporting All Singaporeans

141. The Government will continue to do whatever is necessary to help Singaporeans manage cost pressures — for as long as it is needed.

142. Although inflation has eased in recent years, we know that many Singaporeans still face anxieties and pressures. So we will continue to provide additional support this year.

a. First, I will **provide a Cost-of-Living Special Payment, comprising $200 to $400 in cash**, to Singaporean adults earning up to $100,000 in Assessable Income and who do not own more than one property.

b. Second, there will be **additional U-Save rebates to help households with their utilities expenses**. Eligible HDB households will receive 1.5 times the regular amount of U-Save rebates, or up to $570 this financial year.

c. Third, I will **provide another $500 in CDC Vouchers for all Singaporean households in January 2027**.

d. Similar to previous rounds of CDC Vouchers, half can be used at participating supermarkets, while the other half can be used at participating heartland merchants and hawkers.

143. Mr Speaker, we will continue to review and enhance our social support system — across education, housing, healthcare, and retirement, and for different groups, be it families, parents, seniors, persons with disabilities, or caregivers. We will keep working at this, steadily and responsibly, so that Singapore remains an inclusive and united society, and a place that we are all proud to call home.